Franco-Nevada Corporation (NYSE/TSX: FNV)

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RATING	CLOSING PRICE
Hold	USD 230.76
PRICE TARGET	**IMPLIED ALL-IN RETURN**
USD 250.00	9.1%

Investment summary

Franco-Nevada is the largest gold-focused royalty and streaming company, and it carries no debt. It funds mines upfront in exchange for a share of revenue or metal at a fixed, low cost. In Q2 2026, precious metals made up 86% of revenue and the Americas made up 88%. The model produced a 91% adjusted EBITDA margin in H1 2026, on revenue of US$1.23 billion.

We forecast 552k GEOs in 2026, in the upper half of the company's 510–570k guidance range. Côté Gold, Candelaria, Greenstone and Valentine drive a heavier second half as operators ramp up. Our 600k GEOs for 2030 implies about 3% annual growth, inside management's outlook. Cobre Panamá is adding stockpile ounces, and a restart could add 150–175k GEOs a year.

Upcoming potential catalysts and milestones include: (1) Q3 2026 results and first Cobre Panamá stockpile deliveries (Nov 11, 2026); (2) Côté Gold/IAMGOLD reserve update and 40ktpd mine plan (4Q26); (3) Archimedes/i-80 Gold first gold (4Q26); (4) Copper World/Hudbay sanction decision (late 2026) and first production (2H29); (5) Castle Mountain/Equinox and AurMac/Banyan investment decisions (1H27); (6) Bullabulling/Minerals 260 feasibility study (1Q27) and first production (4Q28); (7) Candelaria/Lundin underground ramp-up to 14ktpd (2H27); (8) Stibnite/Perpetua start of operations (2029); and (9) a decision from Panama's ministerial commission on Cobre Panamá (timing open).

Valuation

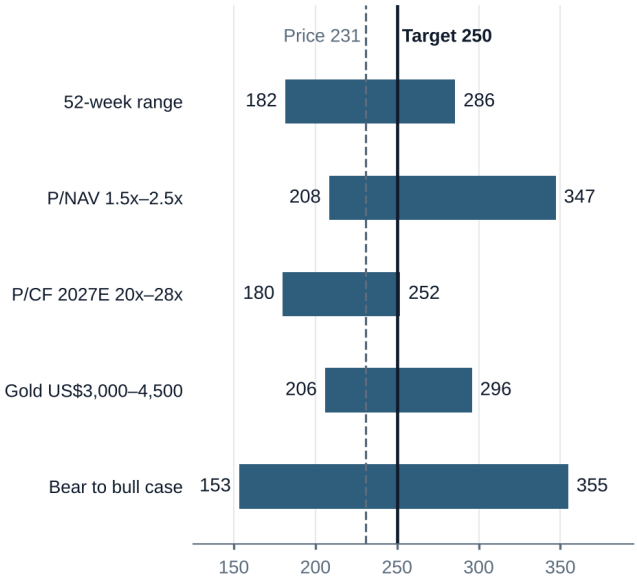
Our US$250.00 price target is a 50/50 blend of 2.0x our NAV5% of US$138.88 and 25x our 2027E CFPS of US$9.00. Our NAV assumes US$4,000/oz gold in 2027, stepping down to US$3,500/oz over the long term. These multiples sit above Wheaton and Royal Gold, reflecting FNV's diversification and debt-free balance sheet (Exhibit 2). With a 7.9% CAPM cost of equity, today's price implies about 4% perpetual growth in free cash flow. Our Hold rating reflects a 9.1% implied all-in return, below our 15% threshold for a Buy.

We estimate a 2026 return on equity near 18%, earned without debt and driven mainly by margin. With US$4.3 billion of available capital, FNV can fund new deals and keep raising its dividend.

Risks to rating and price target

In addition to general operating, financing and commodity (gold, silver, oil) risks, we highlight: (1) gold prices, where each US$250/oz move changes our 2027E CFPS by about 6%, lifting our implied value to ~US$296 at US$4,500/oz or cutting it to ~US$206 at US$3,000/oz; (2) Cobre Panamá, where permanent closure removes US$8.44 per share and a full restart adds up to ~US$24 per share; (3) achievement of ramp-up and production targets at Candelaria, Côté Gold and Valentine; (4) capital deployment risk, as acquisitions made at cycle-high gold prices may earn lower returns; (5) tax changes, including CRA reassessments, a global minimum tax and PFIC status; and (6) energy prices, where a US$10/bbl change in WTI moves oil revenue by about 12%.

Exhibit 1 - Valuation ranges (US$/share)



Bear: US$3,000 gold, no Cobre restart, 1.5x NAV, 20x CF. Bull: US$4,500 gold, full restart, 2.25x NAV, 28x CF. Source: Northwall estimates.

Exhibit 2 - Senior royalty and streaming peers

Company	Price	Mkt cap	P/E*	P/CF*	Net cash
Franco-Nevada	**230.76**	**$44.5B**	**27.5x**	**22.2x**	**$1.0B**
Wheaton Precious	124.59	$56.6B	25.1x	20.0x	($1.9B)
Royal Gold	234.11	$19.8B	22.9x	14.8x	($0.3B)

* H1-26 adjusted EPS and operating cash flow per share, annualized (Royal Gold: Q2-26 annualized). Prices in US$ as of Oct 26–27, 2026. Source: company filings.

Exhibit 3 - Northwall estimates

FY Dec	2025A	2026E	2027E	2028E
GEOs (000 oz)	519	552	572	570
Revenue (US$M)	1,823	2,384	2,219	2,101
Adj. EBITDA (US$M)	1,656	2,163	2,003	1,893
Adj. EPS (US$)	5.58	7.72	6.71	6.25
CFPS (US$)	7.75	9.86	9.00	8.51
P/CF	29.8x	23.4x	25.6x	27.1x

Gold deck: US$4,200/oz (2H26), US$4,000 (2027), US$3,800 (2028). Source: company filings, Northwall estimates.

Ratings: Buy, expected 12-month total return above 15%; Hold, 0–15%; Sell, below 0%. Facts are from company filings; estimates, target and rating are Northwall Research opinions. The analyst certifies these views are their own. Not investment advice.